

WYNN pitch deck

PITCH — WYNN — PROPOSED VERDICT

NO POSITION at \$102.50 — reject the buy case as pitched; keep Wynn on a watch list with specific price and data triggers. PROPOSED — PENDING ADJUDICATION.

What we believe

Wynn's second-quarter 2026 "beat" was manufactured almost entirely by luck at one property. At Wynn Palace in Macau, the casino kept 29.7% of what mass-market players wagered, versus 22.3% a year earlier — a win-rate swing that added roughly \$40–50M of quarterly profit without any underlying growth in customer demand. Every other part of the business declined: the older Macau peninsula property was flat (\$95.5M vs \$96.5M), Las Vegas profit fell 8.3% (\$215.2M vs \$234.8M), and Boston fell 12% (\$56.1M vs \$63.9M). Macau's market-wide July gaming revenue was down 8.4% year over year ([DICJ data](#)).

Meanwhile the balance sheet is entering its most demanding stretch: \$1.57B of cash against \$10.72B of debt, \$525–650M of equity still owed to the UAE project (now costing \$5.7B after a \$600M overrun, opening September 2027), Macau capital spending set to roughly double in 2027, a \$600M convertible bond at the Macau subsidiary that holders can put back in March 2027, and only \$326.1M left on the share buyback authorization. The stock's main support mechanism runs out of ammunition exactly when the cash calls arrive.

One more thing we believe because management said it on the earnings call: the company normalizes (adjusts out) lucky results in the VIP segment, where luck hurt them this quarter (–\$8.6M), but presents the mass-market segment — where luck helped enormously — unadjusted. Their CFO's words: *"We tried to normalize for mass hold... nobody liked it. We reverted back to normalizing for VIP"* ([call transcript](#)).

What the market believes

The market treated the quarter as a genuine beat — shares rose on the print. Sell-side coverage is heavy and bullish: 17 analysts, average price target ~\$123 (high \$135, low \$101), with 17 of 19 ratings at Buy or better ([consensus](#)). At \$102.50 the stock is 24% below its 52-week high but the consensus view is a recovery story: Macau demand returning, Vegas resilient, and the UAE resort as a 2027 growth option. That consensus is anchored, at least in part, to a quarter whose profit was inflated by a win-rate coin flip.

Why we might have edge

- **The decomposition is arithmetic, not opinion.** We took the quarter apart property by property from the [company's own press release](#). One property's win-rate anomaly is the entire beat; strip it and the run-rate sits roughly 6% below what consensus is capitalizing.
- **The asymmetric-adjustment finding is confirmed from management's mouth**, not inferred. When a company adjusts out bad luck but not good luck in the same report, the headline number is biased upward by construction. This is a repeatable pattern we are adding to our detection library for all casino-sector work.
- **The buyback-exhaustion fact appears under-appreciated.** \$326.1M of remaining authorization against \$525–650M of UAE equity calls, doubled 2027 Macau capex, and a 2027 convertible put is a specific, dated collision that the “return of capital” leg of the bull case ignores.
- **A dated, falsifiable test arrives September 1:** Macau's August revenue release either shows volume-led recovery or it doesn't, and we've defined in advance what counts (see entry bands).

Why it might be priced in

Honesty requires the other side, and our own second bench (the cross-examiner) reduced the bear case in three places:

- **The give-back may be smaller than the bear math says.** Some of the elevated 29.7% win rate may be *structural* — a shift toward premium mass-market customers mechanically raises the blended win rate. The theoretical “normal” rate isn't disclosed, so the ~\$48M/quarter reversion figure is a model assumption, not a fact.
- **The consensus anchor is \$123, not \$133** as the original bear brief claimed — the gap between price and target is ~20%, not ~30%. The mispricing is smaller than first framed.
- **Vegas wasn't actually flattered by luck this quarter** — management disclosed luck *cost* Las Vegas \$3.6M vs theoretical. The Vegas decline is real, but the “hold-flattered decline” amplifier was wrong.
- July's Macau weakness was partly one-off (typhoon, World Cup), and revenue was +9.4% month over month. An August rebound is plausible.
- With 17 analysts covering, this is a heavily-studied name; the market has had the same press release since August 4.

Net: the *long* is rejected on confirmed evidence, but the *short* is also unproven — reversion size is uncertain, the options market hasn't been checked, and the next earnings date is unconfirmed. Flat both directions.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Q2 beat was made by one property's win rate	Fetches Q2 press release directly	Palace mass hold 29.7% vs 22.3%; Palace profit \$201.5M vs \$157.2M; peninsula flat; LV -8.3%; Boston -12%	YES

Claim	How checked	Found	Confirmed?
Vegas decline was flattered by lucky win rate	Fetch earnings call transcript	Our bear bench erred: luck was a \$3.6M <i>headwind</i> in LV this quarter (hold-adjusted \$219M vs \$215M reported); prior-year comparison rate unverified	PARTLY — claim reduced
~\$48M/quarter of Palace profit mechanically reverts	Bench cross-examination vs our own hold-decomposition doctrine	Bear bench’s quantum erred: assumes an undisclosed 25% theoretical rate; premium-customer mix shift could make part of the elevated rate persistent	DIRECTION YES, SIZE UNPROVEN
Cash \$1.57B / debt \$10.72B / buyback \$326.1M left / UAE \$5.7B cost, \$525–650M equity remaining	Press release + JP Morgan-sourced UAE reporting	All figures confirmed verbatim	YES
Macau July market revenue –8.4% YoY	Official DICJ series via press coverage	Confirmed; +9.4% MoM (rebound not independently re-checked)	YES (YoY)
Management adjusts VIP luck but not mass-market luck	Transcript, CFO verbatim quote	Confirmed from primary source (upgraded from “plausible”)	YES
Analyst consensus anchored at \$133	Consensus estimate pages	Our bear bench erred: average target is \$123.06, 17 analysts	CORRECTED
VIP is now ~10% of table winnings (no “premium pure-play”)	Win percentages 2.97%/2.58% confirmed; turnover figure source unreachable (403)	Directionally consistent, not fully verified	PARTIAL
Options pricing supports a short expression	Attempted broker data pull — permission denied both sessions	Unverified	NO — coverage gap
Booking-depth trend at LV/Palace/Boston	Booking-data connector failed to load ×3	Unavailable — this is the single most decisive missing demand read	NO — coverage gap
Satellite check of UAE construction progress	Imagery ran but the most recent usable scene (June 2025) predates the revised timeline; tower topped out before that	Non-informative; neither bench may cite it	NO
Evidence pack’s own revenue series	Inspection	Pack’s quarterly revenue XBRL is 2009–2010 vintage (stale data join) — disregarded	PACK ERROR FLAGGED

PROPOSED ENTRY BANDS

The courts say **no entry today, either direction**. Reopen conditions, from the benches’ own math:

Reopen the LONG if either: 1. **Price gate: \$88–90.** At that level the luck-stripped run-rate (~6% below consensus earnings power) is in the price, and you’re paid to own the UAE opening (Sept 2027) as a free option. Entry band \$88–90, adds below \$88 only after the September 1 data gate also passes. 2. **Data gate, September 1, 2026:** Macau August gaming revenue (official DICJ release) is **positive**

year-over-year AND Wynn's mass-market win rate is $\leq 26\%$ — i.e., growth is volume-led, not luck-led. Both conditions must hold; either alone is a false signal.

Reopen the SHORT only if all three: the options chain is actually checked (never done — broker permission blocked), the next earnings date (est. 2026-11-05) is confirmed by company announcement, and the Palace mass-market win-rate history shows the elevated rate is luck rather than customer-mix (which would cap the payoff).

Sizing: not set by the courts — no entry was approved, so no size exists. Any reopen must return to adjudication with a proposed size; do not inherit a default.

Catalyst calendar: Sept 1, 2026 (Macau August revenue, the near gate) · ~Nov 5, 2026 (Q3 earnings — **unconfirmed date**, and the quarter where the win-rate either reverts or doesn't) · March 2027 (Macau subsidiary \$600M convertible put) · Sept 2027 (UAE resort opening).

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 88.0 (deck-provisional: add zone floor - adds below \$88 only if the 9/01 DICJ compound gate also passed)
- filing watch: 8-K until 2027-02-06 (deck-provisional: confirm Q3 print date, catch the hold-reversion quarter, UAE financing or WML convert-put refinancing)
- dated pack WYNN|2026-09-01: WYNN: DICJ August Macau GGR - gate: YoY-positive AND Wynn mass hold $\leq 26\%$ (date confirmed=True)
- dated pack WYNN|2026-11-05: WYNN: Q3 earnings (vendor-derived estimate) - the hold-reversion test (date confirmed=False)
- dated pack WYNN|2027-03-07: WYNN: Wynn Macau \$600M convertible bond putable by holders (date confirmed=False)
- dated pack WYNN|2027-09-01: WYNN: Wynn Al Marjan (UAE) opening, approximate month (date confirmed=False)

What remains unverified

- **Next earnings date (2026-11-05)** — derived from a data vendor, no company announcement confirms it.
- **Options market pricing** — broker permission denied in both court sessions; the short expression is unsized without it.
- **Prior-year Las Vegas win rate** — the “Vegas flattered year-over-year” comparison rests on an unverified 21.8% figure.
- **Palace theoretical win rate and hold history** — determines how much of the \$48M/quarter reverts vs persists.

- **VIP turnover figure (\$2.768B)** — source returned a 403 error; win percentages confirmed, volume not.
- **July's +9.4% month-over-month rebound** — not independently re-checked.
- **Macau subsidiary debt split and any pre-arranged refinancing of the March 2027 convertible put.**
- **The 10-Q itself** — SEC.gov returned 403 errors on repeated attempts; all figures come from the press release and transcript as republished. Direct filing verification is outstanding.

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